**IN THE NATIONAL COMPANY LAW TRIBUNAL**
**ALLAHABAD BENCH, PRAYAGRAJ**

**CA (CAA) No.01/ALD/2022**
*(Under Sections 230-232 of the Companies Act, 2013)*

*In the matter of*
The Companies Act, 2013

And

*In the matter of*
Section 230(1) read with Section 232(1) and other applicable provisions of the Companies Act, 2013 and the Companies (Compromises, Arrangements and Amalgamations), Rules, 2016

And

*In the Matter of:*
**Jaykaycem (Central) Limited**, a company incorporated under the Companies Act, 1956, having Corporate Identification Number (CIN:) U72305UP1987PLC009162 and its registered office at Kamla Tower, Kanpur 208 001 in the State of Uttar Pradesh.

**… Applicant/Transferor Company**

with

**J.K. Cement Limited**, a company incorporated under the Companies Act, 1956; having CIN: L17229UP1994PLC017199 and its registered office at Kamla Tower, Kanpur 208 001 in the State of Uttar Pradesh.

**… Non-Applicant/Transferee Company**

**Date of hearing: 04.01.2022**

**Date of pronouncement: 31.01.2022**

***Coram:***

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| Shri Rajasekhar V K | : | Member (Judicial) |
| Shri Balraj Joshi | : | Member (Technical) |

***Appearances (via videoconferencing):***
Mr Rahul Agarwal, Advocate
Mr Aniket Agarwal, Advocate

**ORDER**

*Per: Balraj Joshi, Member (Technical)*

1. The instant application has been filed in the first stage of the proceedings under Section 230(1) read with Section 232(1) of the Companies Act, 2013

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("**Act**") for orders and directions with regard to meetings of shareholders and creditors in connection with the Scheme of Amalgamation of Jaykaycem (Central) Limited, being the Applicant Company abovenamed ("**Transferor Company**") with J.K. Cement Limited ("**Transferee Company**"). The Appointed Date of the Scheme has been fixed as 1st April 2021.

2. Ld. Counsel appearing for the Applicant/Transferor Company submits as follows:-

(a) The Applicant/Transferor Company is a wholly owned (100%) subsidiary of the Transferee Company.

(b) The Applicant/Transferor Company is an unlisted Companies having (a) only one class of shareholders, viz Equity Shareholders and (b) one class of creditors, viz Unsecured Creditors

(c) The Scheme embodies the arrangement between the Applicant/Transferor Company and its shareholders. In so far as such shareholders are concerned, the Applicant/Transferor Company has already filed the consent affidavits of all its shareholders along with the application and sought dispensation of their meeting accordingly.

(d) In so far as the creditors of the Applicant/Transferor Company are concerned, no change in value or terms or any compromise or arrangement is proposed under the Scheme with any of the creditors of the Applicant/Transferor Company. However, the Applicant/ Transferor Company, has in any event obtained and filed with the application consent affidavits of 95.80% in value of the Unsecured Creditors of the Applicant/Transferor Company and sought dispensation of their meetings accordingly.

(e) Insofar as the Transferee Company is concerned, the Applicant/ Transferor Company submits that there is no compromise or arrangement whatsoever between the Transferee Company and its shareholders or creditors or any other classes of persons within the meaning of Sections 230 or 232 of the Companies Act, 2013. The Transferor Company is a wholly owned (100%) subsidiary of the Transferee Company itself and no shares whatsoever are to be issued by the Transferee Company in terms of the Scheme. The Scheme thus does not involve any reorganisation or restructuring of the capital of the Transferee Company. By virtue of the

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Scheme, there will be no change in control and management of the Transferee Company. The aggregate assets of the Transferor Company and the Transferee Company are also more than sufficient to meet all their liabilities. The rights of the shareholders and creditors of the Transferee Company are thus not affected in any manner whatsoever by the Scheme.

(f) Since there is no compromise or arrangement whatsoever between the Transferee Company and any classes of persons within the meaning of Sections 230 or 232 of the Companies Act, 2013, the Applicant/Transferor Company submits that no application or proceedings for sanction of the Scheme under the said Sections or any other provisions of the Companies Act, 2013 are required to be taken by the Transferee Company. In this regard, the Applicant/Transferor Company also relies upon an order dated 8th January 2021 passed by this Tribunal in Company Application No.273/ALD/2020 (In Re: Hobbits International Foods P Ltd &Anr.) and submits that this Tribunal may be pleased to direct that filing of application and petition by the Transferee Company under Sections 230 and 232 of the Companies Act, 2013 in relation to the Scheme is not required.

3. Accordingly, on the basis of the application, orders and directions are sought for –

(a) dispensing with meetings of the Equity Shareholders and Unsecured Creditors of the Applicant/Transferor Company;

(b) convening and holding of meetings of shareholders and creditors of the Transferee Company and filing of application and petition by the Transferee Company for sanction of the Scheme is not required;

(c) a direction for filing of confirmation petition by the Applicant/Transferor Company under Section 230(6) read with Section 232(3) of the said Act for obtaining sanction of this Tribunal to the Scheme;

4. Upon perusing the records and documents in the instant proceedings and considering the submissions made on behalf of the Applicant/Transferor Company, we allow the instant application and make the following orders:-

(a) Meetings of the Equity Shareholders and Unsecured Creditors of the Applicant/Transferor Company under Section 230(1) read with Section 232(1) of the Companies Act, 2013 are dispensed with, in view of all such

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Equity Shareholders and 95.80% in value of the Unsecured Creditors of the Applicant/Transferor Company having already considered and given their consent to the Scheme.

(b) It is directed that the Transferee Company is not required to file any petition for sanction of the Scheme as there is no compromise or arrangement whatsoever between the Transferee Company and any classes of persons within the meaning of Sections 230 or 232 of the Companies Act, 2013;

5. Notice under Section 230(5) of the Companies Act, 2013 along with all accompanying documents, including a copy of the aforesaid Scheme and statement under the provisions of the Companies Act, 2013 shall be served on the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; Registrar of Companies, Uttar Pradesh, Kanpur; Official Liquidator, High Court, Allahabad; Income Tax Department having jurisdiction over the Applicant/ Transferor Company clearing indicating the PAN of the company concerned, and other sectoral regulators or authorities, if any by sending the same by hand delivery through special messenger or by post or by email within three weeks from the date of receiving this order. The notice shall specify that representation, if any, should be filed before this Tribunal within 30 days from the date of receipt of the notice with a copy of such representation being simultaneously sent to the Advocate of the said Applicant/Transferor Company. If no such representation is received by the Tribunal within such period, it shall be presumed that such authorities have no representation to make on the said Scheme of Amalgamation. Such notice shall be sent pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8(2) of the Companies (Compromises, Arrangements and Amalgamations) Rules 2016 in Form No. CAA3 of the said Rules with necessary variations, incorporating the directions herein.

6. The Applicant/Transferor Company to file an affidavit proving service of notices, as aforesaid, within a period of two weeks from the date of dispatch thereof.

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7. The Applicant/Transferor Company shall file its confirmation petition for sanction of the Scheme under Section 230(6) read with Section 232(3) of the said Act within three weeks from the date of this order.

8. The Company Application being CA (CAA) No.01/ALD/2022 is disposed of accordingly.

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Rajasekhar V K
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Date: 2022.01.31 18:22:20 +05'30'

**Balraj Joshi**
**Member (Technical)**

**Rajasekhar V.K.**
**Member (Judicial)**

*Swati Gupta, LRA*